

“In many cases, it is not the absence of talent, but the absence of disciplined preparation,” he adds.

NEED TO LOOK OUTSIDE

Succession planning is a priority for most organisations, but execution remains the biggest challenge.

Mark Braithwaite, Managing Director—Asia Pacific at global executive search and leadership advisory firm Odgers, notes that as organisations navigate ongoing global disruptions, leadership movement will continue.

“The intent to build strong internal pipelines is clear, but the reality is more complex. High-potential leaders, by nature, are ambitious and unwilling to wait indefinitely for the top role. You can’t expect someone who is ready to be a CEO to sit in line,” says Braithwaite.

Traditionally, organisations have relied on grooming internal talent, rotating leaders across roles and building exposure over time. While this approach has worked for large organisations, it is far from foolproof.

As a result, many companies turn outward. External hiring, says Braithwaite, is often driven by the need to bring in fresh perspective. “If organisations were completely confident about an internal successor, they likely wouldn’t initiate a search in the first place,” he says.

84 | There are also structural challenges. Functional leaders, such as CFOs, may be considered potential successors, but not all transitions translate effectively into broader CEO roles. The leap from functional expertise to enterprise leadership is not always seamless.

Ultimately, the biggest disruption to succession planning is unpredictability. While plans are often built around orderly transitions, reality rarely follows that script. In such moments, the absence of a ready successor becomes starkly visible and urgency leaves organisations with little choice but to look outside.

Mitra says the instinct to hire externally is understandable, but over-reliance often signals that internal depth hasn’t been built early enough. He also emphasises structural shifts. “Organisations need an internal talent marketplace where careers are non-linear across functions. This builds both speed and depth.”

Bhalla, on the other hand, believes external hires are typically far more disruptive than boards anticipate, culturally, politically, and operationally.

FUTURE-PROOFING SUCCESSION

Forward-looking organisations are rethinking beyond job titles to focus on future-critical capabilities.

“The emphasis is shifting to agility, adaptability, judgment, and the capacity to lead transformation in uncertain environments,” says Bhalla.

SUCCESSION BY THE NUMBERS



50% OF CXOs IN INDIA ARE GROOMED INTERNALLY



78% OF ORGANISATIONS HAVE FORMAL SUCCESSION PROCESSES (UP FROM 72% EARLIER)



51% REPORT SUCCESSFUL SUCCESSION OUTCOMES (VS 27% EARLIER)



69% HAVE FORMAL SUCCESSOR IDENTIFICATION AND DEVELOPMENT PROCESSES



72% UPDATE SUCCESSION PLANS ANNUALLY; 22% BENCHMARK EXTERNALLY



62% USE ASSESSMENT FRAMEWORKS; 87% HAVE DEVELOPMENT FRAMEWORKS



63% MEASURE SUCCESSION EFFECTIVENESS (UP FROM 43%)



9% USE AI IN SUCCESSION PLANNING